

1. Organizational & Goal Alignment

What does it mean?

Strategic alignment means making sure that the organisation's **digital strategy supports its overall business strategy**.

A common mistake is:

"We should use AI because everyone is using AI."

That's **technology-driven transformation**.

A better approach is:

"Our customer service costs are increasing, and customers expect 24/7 support. Therefore, an AI chatbot may help us achieve our customer-service and cost-reduction objectives."

That's **strategically aligned digital transformation**.

Simple framework

BUSINESS GOAL



BUSINESS PROBLEM



DIGITAL SOLUTION



KPI



BUSINESS RESULT

Example 1: Singapore Education Institution

Imagine a private education institution has this strategic goal:

Business Goal

Increase student enrolment by 15%.

The institution identifies a problem:

Students are increasingly searching and applying for courses online.

Digital Strategy

The institution introduces:

- Online application
- Digital marketing
- CRM
- AI chatbot
- Online course information
- Automated follow-up emails
- Student enquiry management

Strategic Mapping

Business Objective	Digital Initiative	KPI
Increase enrolment	Digital marketing	Number of qualified leads
Increase applications	Online application	Application completion rate
Improve conversion	CRM	Lead-to-enrolment conversion
Improve response time	AI chatbot	Average response time
Improve student experience	Student portal	Student satisfaction

The important point is that **the digital KPI is connected to the business objective**.

For example:

AI chatbot → Faster response → More enquiries converted → More enrolments
→ More revenue

That's strategic alignment.

Example 2: FairPrice

Let's use the **FairPrice** example from your earlier activities.

Suppose FairPrice's strategic objective is:

Increase customer loyalty and customer spending.

It introduces or expands:

- Mobile application
- Digital loyalty programme
- Personalised promotions
- AI recommendations
- Digital payment
- Customer analytics

Strategic mapping

Business Goal

Increase customer loyalty



Digital Strategy

Personalised digital experience



Technology

AI + Data Analytics + Mobile App



KPI

Repeat purchases

App engagement

Customer retention



Business Result

Higher customer lifetime value

Higher revenue

The technology is therefore **not the objective**.

Increasing customer value is the objective.

The technology is the **means of achieving it**.

2. Strategic Mapping: Connecting Digital KPIs to Business Goals

The slide says:

"Connect digital KPIs directly to enterprise revenue, cost reduction, and market share goals."

This is extremely important.

A company shouldn't only measure:

"How many people downloaded our app?"

Instead, it should ask:

"Did the app increase sales, reduce costs or improve customer retention?"

Example

A hotel spends **S\$500,000** developing a mobile application.

It shouldn't simply measure:

100,000 app downloads.

It should measure:

- Direct bookings
- Reduction in booking costs
- Increase in repeat bookings
- Increase in room revenue
- Customer satisfaction
- Reduced reception workload

The downloads are a **digital metric**.

Revenue, cost reduction and customer retention are **business outcomes**.

3. Change Management

The second part of the left-hand box is:

"Address cultural resistance through continuous upskilling, clear communication, and leadership advocacy."

Digital transformation is not only a **technology project**.

It is also a **people and organisational change project**.

Employees may think:

"AI is going to replace my job."

or:

"I've been doing this manually for 15 years. Why should I change?"

Therefore, management needs to address resistance.

Example: Singapore Hotel

A hotel introduces automated check-in.

Employees might initially resist:

"Guests won't need reception staff anymore."

Management could instead explain:

"The system will handle routine check-in so staff can spend more time helping guests with complex requests and providing personalised service."

Then provide:

- Training
- New job responsibilities
- Technical support
- Clear communication
- Performance incentives

Change-management cycle

Explain WHY



Train employees



Introduce technology



Provide support



Measure adoption



Improve

4. Evaluating Performance & ROI

The second major concept is **Return on Investment (ROI)**.

ROI answers:

"Did we get enough value from the money we invested in digital transformation?"

The formula shown in your slide is:

$$\text{Digital ROI} = \frac{\text{Net Financial Gains}}{\text{Total Digital Investment}} \times 100\%$$

Where **net financial gains** generally means the financial benefits after relevant costs have been deducted.

Example: Digital Transformation in a Hotel

Suppose a Singapore hotel invests:

S\$200,000 in a digital check-in system.

After implementation, the hotel achieves:

- S\$120,000 reduction in administrative costs
- S\$100,000 additional revenue from improved direct bookings
- S\$20,000 additional technology/maintenance costs

Therefore:

Net financial gain =

$$S\$120,000 + S\$100,000 - S\$20,000$$

$$= \mathbf{S\$200,000}$$

ROI:

$$\text{ROI} = \frac{200,000}{200,000} \times 100$$

$$\mathbf{\text{ROI} = 100\%}$$

This means the net financial gain equals the original investment.

5. ROI Is More Than Just Money

This is one of the most important concepts in digital transformation.

The slide says:

"Measure short-term operational efficiency alongside long-term strategic value and enterprise agility."

That means we shouldn't evaluate a digital project using **financial ROI alone**.

Consider an education institution implementing an LMS.

It might cost:

S\$300,000

The direct financial return may be difficult to calculate immediately.

But the institution may achieve:

Operational benefits

- Less paperwork
- Faster assessment
- Lower administrative workload
- Easier course management

Customer benefits

- Better student experience
- 24/7 access to learning materials
- Faster feedback

Strategic benefits

- Ability to offer online programmes
- Ability to serve international students
- Ability to introduce new courses more quickly
- Greater competitiveness

Therefore:

Financial ROI + Operational ROI + Customer Value + Strategic Value

should be considered.

6. Multi-Metric Framework

A useful way to teach this is to divide performance into **four levels**.

Level	What to Measure	Example
Financial	Money generated/saved	Revenue, profit, cost reduction
Operational	Efficiency	Processing time, productivity, error rate
Customer	Customer experience	Satisfaction, retention, NPS
Strategic	Long-term capability	Innovation, market share, agility

Example: Logistics Company

A logistics company invests **S\$1 million** in an AI route-optimisation system.

Financial

Fuel savings = S\$300,000/year

Operational

Average delivery time decreases from 4 hours to 3 hours.

Customer

On-time delivery increases from 90% to 97%.

Strategic

Company can handle 20% more deliveries without proportionally increasing its fleet.

Even if the financial ROI isn't immediately huge, the **strategic value can be significant**.

7. Short-Term vs Long-Term ROI

This is another important concept from your slide.

Short-term ROI

Usually focuses on:

- Cost savings
- Productivity
- Faster processes
- Reduced errors

- Immediate revenue

Long-term strategic value

Focuses on:

- New business models
- New markets
- Customer loyalty
- Innovation
- Competitive advantage
- Organisational agility

Example

A university invests in an online learning platform.

Year 1:

High implementation cost → Low financial ROI

But over several years:

Online programmes → International students → More enrolment → New revenue streams

Therefore, judging the project only on **Year 1 financial ROI** could lead management to reject a strategically valuable project.

8. What Is Enterprise Agility?

The slide specifically mentions **enterprise agility**.

This means:

The organisation's ability to respond quickly to changes in the market, customers, competitors and technology.

Example: Education

Traditional institution:

New course proposal → Approval → Marketing → Physical classroom → Student enrolment

Could take months.

Digitally agile institution:

Identify market demand → Develop modular course → Publish online → Digital marketing → Enrol students

The second organisation can respond **much faster to market changes**.

9. Putting Everything Together

Here's a useful example for **Singapore healthcare**.

Business Goal

Reduce unnecessary hospital visits and improve patient care.

Digital Initiative

Remote patient monitoring.

Technology

IoT + wearable devices + mobile app + AI + data analytics.

KPIs

Operational:

- Number of remote consultations
- Reduction in unnecessary visits
- Response time

Customer:

- Patient satisfaction
- Patient engagement
- Treatment adherence

Financial:

- Cost per patient
- Healthcare cost savings

Strategic:

- Ability to manage more patients
- Better chronic disease management

- Scalable healthcare services

Strategic Alignment

Healthcare Goal

Improve patient care



Business Problem

Increasing healthcare demand



Digital Strategy

Remote patient monitoring



Technology

IoT + AI + Analytics



KPIs

Cost + Quality + Satisfaction + Efficiency



Business Value

Better care + Lower cost + Greater capacity

10. A Very Simple Way to Explain the Whole concept

You can explain **Strategic Alignment & ROI** to students using four questions:

1. WHY?

What business problem are we trying to solve?

2. WHAT?

What digital solution are we introducing?

3. HOW DO WE KNOW IT WORKS?

What KPIs will we measure?

4. IS IT WORTH IT?

Does the value created justify the investment?

Example

Imagine a Singapore hotel wants to introduce **AI-powered customer service**.

Question	Answer
Why?	Customers expect 24/7 assistance and hotel staff face high workloads.
What?	AI chatbot/virtual concierge.
Business goal?	Improve customer satisfaction and reduce service costs.
KPI 1	Average response time
KPI 2	Customer satisfaction
KPI 3	Number of enquiries handled automatically
KPI 4	Staff hours saved
KPI 5	Cost per customer enquiry
Financial ROI	Cost savings + additional revenue compared with digital investment
Strategic value	24/7 service, scalability and improved customer experience